possible to maintain them in these old forms in future. Britain's foreign investments have disappeared and given place to huge debts, and London's financial supremacy has also gone. This means that in the post-war years Britain will have to depend even more on her export business and her carrier trade. And yet the possibilities of increasing exports, or even maintaining them at the old level, are strictly limited.

Great Britain's imports (*less* re-exports) in the pre-war years 1936-38 averaged £866,000,000. They were paid for as follows:

Exports • . • • £478 million.

Income on foreign investments . . £203 „

Shipping services .. .. £105 „

Financial services . . . . £ 4 0 „

Deficit .. •. £ 4 0

£866 million.

Instead of the substantial income from foreign investment there is going to be a heavy burden of external debt, due to borrowings in goods and services (apart from American Lend-Lease) from India, Egypt, Argentine, and other countries. Lord Keynes has estimated that, at the end of the war, these frozen